EXECUTIVE SUMMARY

A. Introduction

Buguey was founded and created on May 20, 1623 as a town by virtue of Royal Decree issued by the King of Spain. The municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the municipality of Lal-lo, on the east by the municipality of Sta Teresita (former part of Buguey) and on the west by the municipality of Aparri.

The audit covered the accounts and operations of the Municipality of Buguey for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

B. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017 were P182,212,018.97, P61,146,813.57 and P121,065,205.40 with an increase in assets and government equity of 20.35% and 44.75%, respectively, and decrease in total liabilities of(9.76%, from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P105,039,968.71 and P93,003,220.18 which decreased by 5.33% and 10.12%, respectively, from last year's figures.

	2017	2016	Increase (Decrease)	
			Amount	%
Financial Condition				
Assets	P182,212,018.97	P151,396,394.95	P30,815,624.02	20.35
Liabilities	61,146,813.57	67,760,474.54	(6,613,660.97)	(9.76)
Government Equity	121,065,205.40	83,635,920.41	37,429,284.99	44.75
Results of Operation				
Total Income	105,039,968.71	110,948,353.42	(5,908,384.71)	(5.33)
Total Expenses	93,003,220.18	103,471,139.79	(10,467,919.61)	(10.12)
Appropriations, Allotments and Obligations				
Appropriations-Current	121,141,557.00	111,001,233.74	10,140,323.26	9.14
Appropriations-Continuing	5,468,374.73	37,150,244.37	(31,681,869.64)	(85.28)
Allotments-Current	121,141,557.00	111,001,233.74	10,140,323.26	9.14
Allotments-Continuing	5,431,292.73	37,150,244.37	(31,718,951.64)	(85.38)

Obligations-Current	110,254,270.97	100,047,030.13	10,207,240.84	10.20
Obligations-Continuing	2,960,532.67	31,396,189.10	(28,435,656.43)	(90.57)

C. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness of the account valued at P123,568,855.39 (net of depreciation) could not be ascertained due to failure of the Management to complete the of conduct physical inventory of all LGU's properties and lack of property equipment ledger cards. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said accounts.

D. Summary of Significant Audit Observations and Recommendations

1. Collections of the Municipal Treasurer were not deposited intact with the Authorized Depository Bank (AGDB) resulting in the accumulation of undeposited collections of P280,478.19 in violation of Section 69 (1) of Presidential Decree (PD) 1445, and/or Section 307 of RA 7160 otherwise known as the Local Government Code of 1991.

   We recommended that the Municipal Treasurer deposit intact all her collections as well as collections turned over to her by the collectors with authorized depository bank daily or not later than the next banking day pursuant Section 69 (1) of Presidential Decree (P.D.) 1445 and/or Section 307 of RA 7160 otherwise known as the Local Government Code of 1991 to avoid possible misuse of the municipal funds..

2. Cash advances totaling to P3,148,199.43 had remained unliquidated as at year-end due to the failure of concerned accountable officers and employees to settle their accountabilities and strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances as provided under pertinent provisions of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997.

   We recommended that Management strictly enforce the rules and regulation on the granting, utilization and liquidation of cash advances. Require the Municipal Accountant not allow the grant of additional cash advance to officials and employees unless the previous cash advance had been first liquidated or a proper accounting thereof properly made.

   Issue demand letters for the immediate liquidation of cash advances to those not active/employed in the municipality.

3. The annual GAD Plan and Budget (GPB) for CY 2017 amounting to P2,137,200.00 was not reviewed and approved by the DILG Regional Office as provided under PCW-DILG-DBM-NEDA Joint Memorandum Circular No. 2013-

001, thus, identified programs, projects and activities cannot be ascertained whether it is in response with the gender issues and concerns of the locality.

We recommended that Management comply with the provisions of PCW-DILG-NEDA-DBM Joint Circular No. 2013-01 dated July 18, 2013 on the preparation, review and approval of GAD Plan and Budget.

4. The balance of fund transfers from Department of Social Welfare and Development (DSWD) as at December 31, 2017 for the implementation of various programs is not reconciled with the balance per records of DSWD by P5,816,427.00, hence the accuracy and reliability of the said account could not be ascertained which is inconsistent with Section 111 of Presidential Decree 1445.

   We recommended that the Municipal Accountant reconcile its record with DSWD and that the Municipal Social Worker Development Officer ensure the timely submission of liquidation reports to DSWD.

E. Summary of Total Suspensions, Disallowances and Charges

There are no unsettled Disallowances and Charges as at December 31, 2017.

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	1,554,427.72	-	1,037,400.00	517,027.72	33.26
Current Year	-	-	-	-	
Total	**1,554,427.72**	**-**	**1,037,400.00**	**517,027.72**	**33.26**
Disallowances					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

F. Status of Implementation of Prior Year's Audit Recommendations

Out of twelve (12) audit recommendations embodied in the 2016 Annual Audit Report, four (4) were fully implemented, four (4) were partially implemented and four (4) were not implemented as of December 31, 2017.